

Loan Agreement Summary

Borrower: Himal Trading & Manufacturing Pvt. Ltd.
Lender: Nepal Commercial Bank Ltd.
Facility: Term Loan
Sanction date: 2080-08-15
Sanctioned amount: NPR 20,00,00,000

Key commercial terms

Term	Value
Outstanding (at year-end)	NPR 18,20,00,000
Tenor	7 years (84 months)
Interest rate	10.5% p.a., reset annually to base + 3.25%
Moratorium	12 months (already lapsed)
Repayment	84 EMIs of approximately NPR 33,80,000
Security	Hypothecation of fixed assets; personal guarantee of two directors

Financial covenants

The borrower shall maintain, tested annually on the audited financial statements:

- (a) Debt-Service Coverage Ratio (DSCR) of not less than **1.25 times**.
- (b) Debt-to-Equity ratio not exceeding **2.0 times**.
- (c) Current ratio not less than **1.10 times**.

Affirmative covenants

The borrower shall furnish: (i) annual audited financials within 6 months of year-end; (ii) quarterly management accounts within 45 days; (iii) prior written intimation of any related-party transaction exceeding NPR 1,00,00,000.

Negative covenants

Without the prior written consent of the lender, the borrower shall not: (i) declare dividend if $DSCR < 1.50x$; (ii) incur any additional secured borrowing; (iii) change shareholding structure by more than 25%.

Events of default

Any breach of covenant, payment default exceeding 30 days, or change of management without intimation constitutes an event of default.

This is a synthetic teaching document. No real entity is referenced. Himal Trading & Manufacturing Pvt. Ltd. is fictional.